

WHAT'S THE CURE?



STRATEGIC REFOCUSING
THE SALE OF ITS NUTRITION BUSINESS AND PARTS OF ITS HOSPITAL CHAIN ALLOWED THE COMPANY TO STREAMLINE OPERATIONS AND FOCUS ON CORE PHARMACEUTICAL AND BIOTECHNOLOGY BUSINESSES



R&D INVESTMENTS CONTINUED
INVESTMENT IN RESEARCH AND DEVELOPMENT HAS ENABLED IT TO MAINTAIN A ROBUST PIPELINE OF NEW PRODUCTS



EXPANSION IN EMERGING MARKETS
STRATEGIC FOCUS ON EXPANDING ITS PRESENCE IN EMERGING MARKETS HAS YIELDED POSITIVE RESULTS, WITH REVENUES FROM THESE REGIONS GROWING 15% IN THE PREVIOUS FINANCIAL YEAR



IMPROVED REGULATORY COMPLIANCE
THE COMPANY HAS MADE SIGNIFICANT STRIDES IN ADDRESSING REGULATORY ISSUES, WITH THREE OF ITS MANUFACTURING FACILITIES RECEIVING USFDA APPROVALS IN THE PAST TWO YEARS



DEBT REDUCTION
IT HAS CUT COSTS AND OPTIMISED MANUFACTURING PROCESSES, RESULTING IN IMPROVED OPERATIONAL EFFICIENCIES, AND HAS MANAGED TO REDUCE DEBT TO ₹2,112 CRORE IN FY24 FROM AROUND ₹4,000 CRORE IN FY10



PARTNERSHIPS AND COLLABORATIONS
IT HAS TIED UP WITH GLOBAL PHARMACEUTICAL COMPANIES THAT HAVE PROVIDED IT ACCESS TO NEW MARKETS, ADVANCED TECHNOLOGIES, AND ADDITIONAL REVENUE STREAMS

lenders, says Vishal Manchanda, Senior Vice President of Institutional Research at Systematix, an investment banking firm.

The company divested its non-core nutrition business to French multinational food major Danone and parts of its hospital chain to Fortis to manage its debt. In 2020, it inked a deal with Dr. Reddy's Laboratories to sell select divisions for ₹1,850 crore. And that divestment exercise continued until the closure of the Morton Grove facility, done as part of a restructuring of the US business to save \$12 million annually.

Though it recovered by 2011 by focussing on business operations, concerns with regulatory compliance at its plants, especially those under US Food and Drug Administration (US FDA) restrictions, hindered growth.

The company has raised funds through equity dilution. The Khorakiwala family currently holds around 52% of the company.

THE PLAN

Khorakiwala has come up with a three-pronged strategy to turn the company around: focus on the company's existing pharma base, vaccine collaborations, and introduce new products.

"Our strategy focusses primarily on biological and drug discovery investments. We have a pipeline of new drugs coming in, and future investments will come from our licensing revenue," says Khorakiwala.

The global market for antibiotics is projected to expand from \$53.90 billion in 2024 to around \$85.80 billion by 2033, growing at a compound annual growth rate (CAGR) of 5.3%, according to Nova One Advisor, a global strategic market insights company.

With the impending launch of antibiotics Nafithromycin (MIQNAF) and WCK 5222 (Zaynich), Wockhardt is targeting areas with high unmet needs. MIQNAF, which has completed Phase III clinical trials, is expected to be launched in India this fiscal and in emerging markets in FY26. It is specifically designed to treat community-acquired bacterial pneumonia and respiratory tract infections. Zaynich is currently undergoing global Phase III trials for treatment of complicated urinary tract infections and is expected to be launched in India in FY25, and in the US in FY26.

"Zaynich is undergoing fast-track clinical trials in India for specific resistance cases and should be approved within a year. We will market these products in India and other emerging markets, potentially licensing them out for western markets," says Khorakiwala.

In India, the company plans to price the antibiotic